

for Australia and New Zealand), and the Far East (hence the acronym EAFE). Going with a mutual fund that mirrors this index is a good way to diversify your U.S. investments. Of course, some foreign stock markets are notoriously volatile, and the fees charged by international fund managers tend to be slightly higher on average than those of U.S. funds.

↓ **BOND FUNDS**

Bond mutual funds invest in bonds, which I'll talk about in a minute. First, though, you should know where bond funds fall on the risk/return spectrum. While the exact answer depends on the type of fund, bond funds are generally riskier than money market funds but less risky than stock funds. Not surprisingly, the returns of bond funds have historically been somewhere between those of stock funds and money market funds.

WHAT'S DEFLATION AND WHY SHOULD I CARE?

Whenever the economy takes a nosedive, people start chattering about **deflation**. It's an economic term that means prices are declining over time. In other words, you get more for your dollar on everything from electronics to oil. Sounds like a good deal, right?

Here's the catch: Deflation creates a nasty downward spiral. Clothes may be cheaper, but because you think the sale will be even bigger next week, you wait...and everyone else does too. In the meantime, the store closes and the employees lose their jobs. That's where the vicious cycle kicks in. As more people start losing their jobs, there are more people who can't *afford* to buy. The economy stalls, and eventually you may be the one getting the axe.

But don't panic yet. Although talk of a prolonged downturn has resurfaced in recent years, most economists believe the chances of full-blown deflation are slim to none.

What Is a Bond?